



organically, given the specialised processes involved". Given that TCS and its peers are sitting on cash reserves upwards of millions of dollars, analysts believe management will be inclined to deploy these funds to boost return ratios. Hence, inorganic moves could be considered.

Prospective targets, on the other hand, find their buyout alternatives diminishing, especially as venture capitalists and private equity firms turn cautious. For instance, CGSL was on the block for almost a year, but high valuation—\$1 billion—and severe competition made TCS back off initially. Finally, a valuation of about 50 per

cent less clinched the deal. Ramesh Subramaniam, managing director, Idhasoft, says, "Good companies are on the block too as they are feeling the pinch." Can they wait? "I don't think so." US-based consultancy Enterpulse, incidentally, was its 26th acquisition. Likewise, many IT firms find it prudent to exit their captive BPOs (which have high cost structures), a la Citi.

Of course, no one's complaining. CGSL, with its profitable operations—an EBIT (earnings before income tax) margin of 20 per cent—also guarantees TCS business worth \$2.5 billion for the next 9.5 years, while HCL, with its CPS acquisition, becomes the first business

DEALS ARE EASIER NOT ONLY DUE TO LOW PRICES, BUT ALSO AS TARGETS' ALTERNATIVES ARE DIMINISHING.

It's a Deal

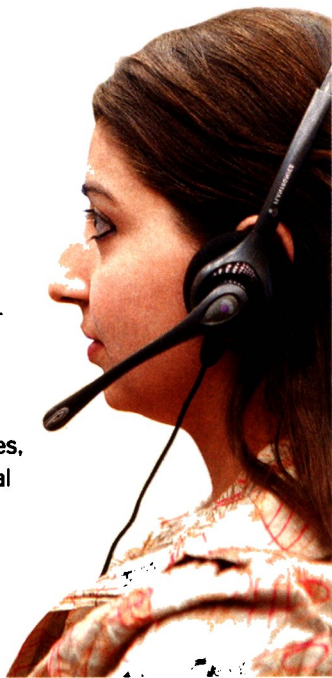
Aegis Communications acquired PeopleSupport, the US-based customer management services firm, for **\$250 million**.

Rohta India bought out US-based WhittmanHart Consulting, a consulting services in the Business Intelligence space.

Wipro Technologies acquired US-based mortgage solutions provider Gallagher Financial Solutions.

TCS acquired Citigroup Global Services, which provides BPO services in the global BFSI sector, for **\$512 million**.

Cisco Systems bought US-based email and calendar software company PostPath Inc for **\$215 million**.



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process service provider to enter the telecommunications expense management market in the country.

Yet, how the coming shakeout transforms the technology landscape might be interesting. A Nasscom-Everest study projects a fivefold growth potential to \$60 billion by 2012 for the BPO sector. What has held it back from reaching its full potential is a lack of domain expertise. "Acquiring captives, which have already established processes, means acquiring new service offering capabilities", says Vikram Beniwal, head-IT, Barings Equity Partners. Given that Indian providers are weak in areas such as infrastructure management, package implementation and consulting, one could see more M&As in these areas.

Still, will consolidation improve this dismal market? While Subramaniam believes it will, by enhancing the level of services for the growing domestic market, Jain feels it will help improve efficiency. Beniwal thinks it might be a good time for companies to replenish their research pipelines. But that will depend entirely on their appetite and capacity to transact. ■